Analyzing **Ero Copper** reveals that it is not a downstream copper company and not a fully integrated metals processor. Ero is **an upstream copper** concentrate producer with meaningful gold by-product exposure, operating almost entirely in Brazil.

That matters because the economics are driven less by refining spreads or product branding and more by ore grade, throughput, recovery, asset reliability, and mine sequencing. In other words, this is a business where geology and execution determine financial outcomes before any model does.

What business is being bought

Ero Copper mines ore, processes it through crushing, milling, and flotation, and sells high-grade copper concentrate to third-party smelters rather than refining it into cathode itself. Its revenue base is therefore tied to mining and concentration efficiency, not downstream fabrication.

The current operating base is concentrated in three core assets:

- Caraiba, the long-standing flagship copper complex, which combines underground and open-pit feed sources.
- Tucuma, the newer open-pit copper mine that materially increased production scale and improved the blended cost profile.
- Xavantina, the gold operation that adds a second cash flow stream and provides by-product support to the broader portfolio.

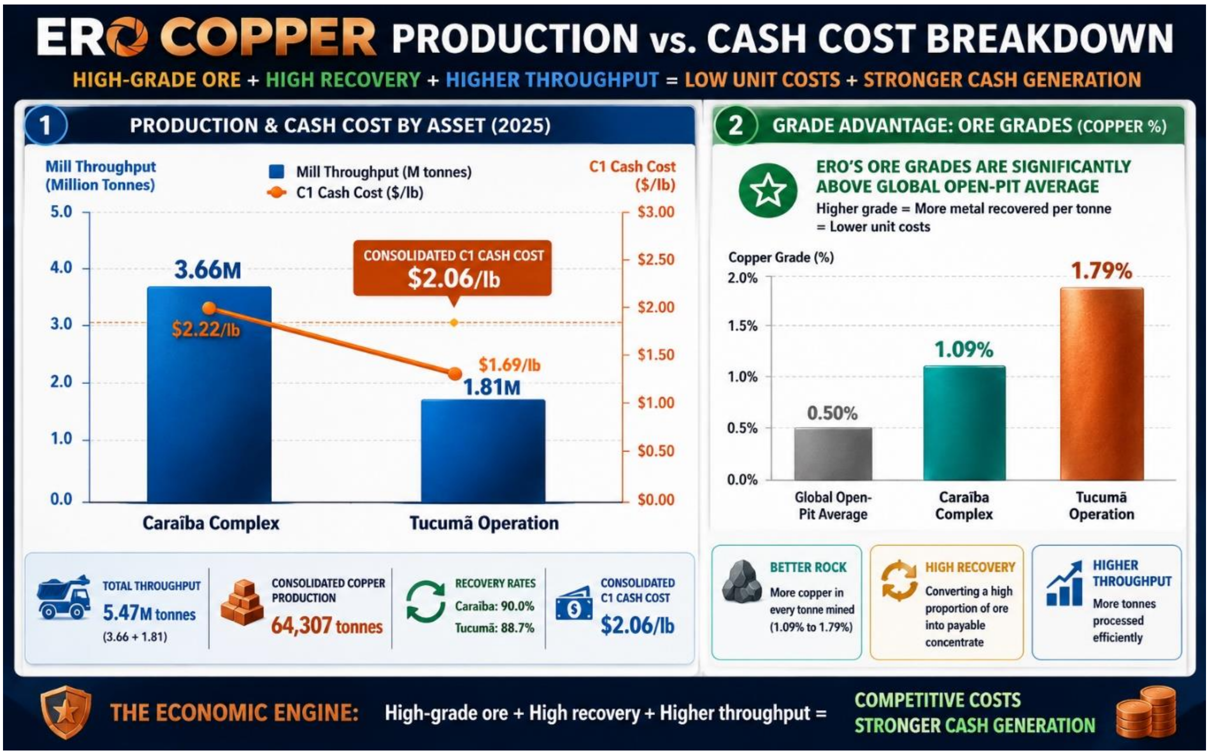
This operating structure makes Ero best understood as a focused mining operator rather than a diversified metals platform. In 2025, copper concentrate generated 78.9% ($619.74M) of revenue, while gold contributed 21.1% ($166.11M). That split is important because it shows the company is still fundamentally a copper business, but one with a real precious-metals cushion.

The core economic engine

Ero's economic engine converts premium geological grades into low-cost production scale. At $1.69/lb, the newly commercialized Tucumã operation acts as a structural margin expander for the company, lowering consolidated C1 costs to $2.06/lb.

- **Grade Advantage**: Tucumã's 1.79% and Caraíba's 1.09% processed copper grades sit significantly above the global open-pit mining average of 0.40% to 0.60%. Better rock ensures structurally superior metal extraction before a single operational decision is made.

- **Processing Efficiency**: High grade is backstopped by robust metallurgical recovery rates (90.0% at Caraíba; 88.7% at Tucumã), ensuring mined ore successfully converts into clean, payable concentrate without expensive downstream smelting burdens.



Evaluating Management and Capital Allocation

A high-quality geological asset means very little if execution fails. The corporate leadership at Ero Copper—led by CEO Makko DeFilippo and Executive Chairman David Strang—demonstrates strong operational discipline by prioritizing infrastructure optimization, de-bottlenecking older mills, and expanding high-grade underground zones.

Instead of pursuing high-risk, expensive greenfield projects or dilutive, top-of-the-cycle M&A, management executes a disciplined spending strategy focused on high-return organic expansions. This capital allocation framework is anchored by several verified operational metrics:

- Debt Reduction: Management successfully reduced the company's net debt leverage ratio by roughly 60% year-over-year.
- Balance Sheet Stability: This debt reduction, coupled with automated cost-control frameworks, left the company with a robust year-end liquidity cushion of $150 million.
- High Efficiency Growth: By prioritizing low-capital-intensity pipelines like the Tucumã open-pit mine (producing at a low cash cost of $1.69/lb since commercial startup) and the 24-year mine-life Furnas earn-in, the company generates a premium, normalized Return on Invested Capital (ROIC) of approximately 17.5%. This comfortably clears Ero's weighted average cost of capital and reinforces long-term asset sustainability.

Why the business deserves further analysis

What stands out is that Ero appears to have a combination that many mid-tier miners struggle to achieve at the same time: production growth, relatively strong grades, and a still-competitive cost profile.

A few points matter most to me:

1. Tucuma changes the shape of the company. It expands production and lowers the blended cost structure, which is more valuable than simple volume growth on its own.
2. Caraiba is not just an old mine. It is a mature operating platform with more than four decades of infrastructure history, and management has continued to improve throughput through debottlenecking rather than relying only on major greenfield bets.
3. gold is not the main story, but it improves portfolio quality. Xavantina gives Ero secondary exposure to gold sales and helps diversify cash generation in a company that would otherwise be even more tied to copper price moves.

Operationally, this is why I would classify Ero as a business-quality story before it becomes a valuation story. If the asset base can continue converting high-grade reserves into steady production at competitive unit costs, valuation can be examined later on more solid ground.

The main risks that actually matter

While Ero exhibits premium growth metrics, its economic reality remains tightly bound to external systemic factors.

- Top 3 Volatility Triggers: Copper price exposure dictates absolute revenue potential, while a strict currency hedging framework (covering over 70% of local expenses) is required to shield margins from a strengthening Brazilian Real.
- Execution Tailwinds: Proactive mill debottlenecking and deep underground mine sequencing are continuously required to buffer the asset base against localized tropical weather disruptions and preserve the company's $150 million liquidity backstop.

Preliminary investment view

At this stage, the business has earned further valuation work; the objective of this memorandum is to determine whether Ero Copper merits detailed financial modeling rather than to estimate intrinsic value. My conclusion is that Ero Copper is not just “a copper stock.” It is a focused upstream mining business whose value is mainly determined by asset quality and operational execution.

The two things I would watch most closely are whether the company sustains throughput expansion without sacrificing recovery, and whether the Tucuma ramp-up continues to support a lower blended cost profile. If those two conditions hold, the business quality likely improves even before any formal valuation work begins.

That is the reason I think Ero is a useful case study. It shows that before building a DCF, an investor can already form a view by asking simpler but more important questions: what part of the value chain does the company occupy, what operational variables truly drive economics, and which risks can change the earnings power of the asset base.